

Chart Patterns

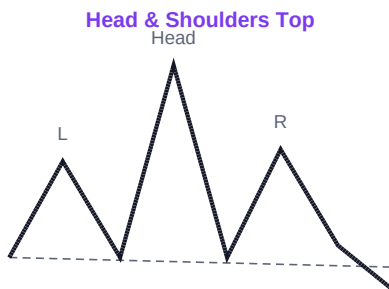
Head & Shoulders, Double Tops, Triangles — Lesson Explainer

The Concept

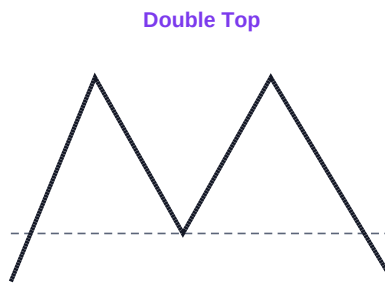
A chart pattern is a recognizable shape formed by price over time - not a random squiggle, but a repeating footprint left by the same crowd behaviors: buyers and sellers testing a level, losing conviction, and eventually giving way.

Patterns split into two camps: reversal patterns (head & shoulders, double tops) that suggest a trend is running out of steam, and continuation patterns (triangles) that suggest a pause before the existing trend resumes.

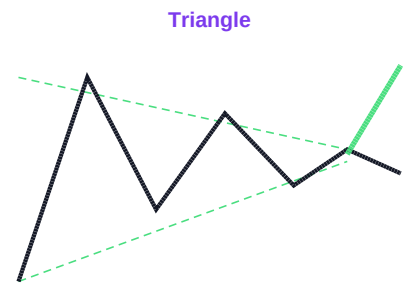
The Three Patterns



Neckline break confirms reversal



Break below the middle low confirms reversal



Converging lines — breakout can go either way

Illustrative Walkthrough: A Head & Shoulders Top

Real head-and-shoulders tops don't come with round numbers, so here's a clean illustrative version to see the mechanics clearly.

Point	Price	Role
Left shoulder	\$118	First peak, uptrend still looks healthy
Neckline (low after left shoulder)	\$100	Key support level to watch
Head	\$130	Higher peak - but often on weaker volume
Right shoulder	\$117	Fails to reach the head's high - momentum fading
Neckline break	\$99	Pattern confirms - reversal underway

The classic 'measured move' price target after confirmation is the head-to-neckline distance projected below the neckline: $\$130 - \$100 = \$30$, so $\$100 - \$30 = \$70$ as a rough downside target. It's a rule of thumb, not a guarantee.

5 Things to Know About Chart Patterns

1. A pattern isn't confirmed until the key line breaks - plenty of near-misses never confirm.
2. Volume should support the story - ideally fading through formation, picking up on breakout.
3. The measured move is a rule of thumb, not a promise.
4. Triangles can break either way - wait for the actual breakout, don't assume direction.
5. Patterns are probabilistic, not mechanical - false patterns and failed breakouts happen.

Worth knowing:

chart patterns describe how crowds have behaved before - a probability tool, not a prediction machine. Always pair a pattern with volume and the broader trend.

Quiz — Answer the questions, then check the key on the next page

1. In a head & shoulders top, what does the "neckline" represent?

- A. The highest price the head reaches
- B. The support level connecting the lows between the shoulders and the head
- C. The average of all three peaks
- D. The 200-day moving average

2. What distinguishes a double top from a random pair of highs?

- A. The two highs must be on the exact same calendar day
- B. A double top has no confirming level at all
- C. Two similar highs failing at the same resistance, then a break below the middle low
- D. The pattern only appears on weekly charts

3. Why can't a triangle be assumed to break with the prior trend?

- A. Triangles only ever form at market tops
- B. Triangles always break downward regardless of trend
- C. Triangles are not a real pattern
- D. The lines can resolve either way - wait for the actual breakout

4. Neckline \$100, head \$130 - what is the rough measured-move target?

- A. \$70
- B. \$130
- C. \$30
- D. \$100

5. Why trust a neckline break on high volume more than on thin volume?

- A. Volume has no relationship to pattern reliability
- B. High volume always means an immediate reversal back
- C. High volume shows real conviction behind the move
- D. Volume only matters for cryptocurrencies

Answer Key

1. In a head & shoulders top, what does the "neckline" represent?

Correct answer: B. The support level connecting the lows between the shoulders and the head

The neckline connects the lows on either side of the head - the key support level whose break confirms the pattern.

2. What distinguishes a double top from a random pair of highs?

Correct answer: C. Two similar highs failing at the same resistance, then a break below the middle low

A double top needs two comparable highs rejected at similar resistance, confirmed only once price breaks the low between them.

3. Why can't a triangle be assumed to break with the prior trend?

Correct answer: D. The lines can resolve either way - wait for the actual breakout

Triangles usually continue the prior trend, but can break against it - the breakout itself tells you the direction.

4. Neckline \$100, head \$130 - what is the rough measured-move target?

Correct answer: A. \$70

Head-to-neckline distance is $\$130 - \$100 = \$30$, projected below the neckline: $\$100 - \$30 = \$70$.

5. Why trust a neckline break on high volume more than on thin volume?

Correct answer: C. High volume shows real conviction behind the move

A high-volume confirmation shows genuine participation rather than a handful of trades nudging price through the line.